

Tencent Holdings (0700.HK): Hy4 preview elevates coding/agentic capabilities amid scaling & positive data flywheel; Buy

We are encouraged by the Hy4 preview launch and agentic performance uplift, where the preview came earlier than our expectations, maintaining a bi-monthly release pace since Hy3 preview, Hy3 (at 295bn total/21bn active parameters) and now Hy4 preview (having scaled to 770bn total/49bn active parameters). Beyond the model capability improvements, we believe the launch highlights Tencent's differentiated product+model strategy, where preview releases are first distributed through Tencent's ecosystem and AI-native applications (workspace applications *WorkBuddy/CodeBuddy*) to collect large scale real-world user data, before feeding back into subsequent pre- and post-training iterations for more advanced formal/next model releases. We view this closed-loop approach as particularly relevant for productivity and coding workloads, where real-world task trajectories, user interactions and evaluation signals drive model differentiation in the agentic AI era.

With the upcoming Tencent Fireside Chat on Sep 1 at the [Goldman Sachs Asia Leaders Conference](#), we anticipate key investor focuses around compute resources allocation and ways to balance/offset the step-up in depreciation, Hunyuan's differentiation/model strategy, WorkBuddy's path to scale, Weixin Agent scaling, games and AI-driven advertising outlook. We also note Tencent Cloud and Smart Industries Group's [recent management press interview](#), that re-iterated Tencent's AI strategy as increasingly centered on long-term value creation with continued investment on products, scenarios and user adoption, as the company focuses on solving real-world problems and building enduring differentiation over time.

Key highlights from the Hy4 preview include:

1) Pursuing open-source frontier through scaled pre-/post-training: Hy4 preview brings Hunyuan back to one of the top tier of open-source models, with particularly notable gains in coding capabilities versus Hy3, ranking #6 globally on the Code Arena WebDev leaderboard (vs. #28 for Hy3). Tencent described the release as the largest generation-over-generation capability improvement within the Hunyuan model family, supported by substantial scale up across both pre-training and post-training, alongside expansion in model size (770bn parameters/49bn activated, vs. 295bn/21bn for Hy3) and context length (1M tokens vs. 256K prior).

2) Continued cost-to-performance advantage despite materially larger model scale: Hy4 preview maintains attractive cost efficiency despite a 2.6X increase in total size versus Hy3, with blended 1M token API pricing of c.US\$0.45 remaining well

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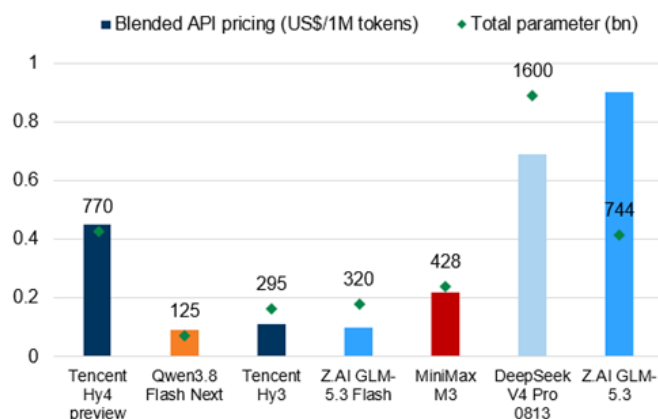
below several open-source peers of similar size at comparable or higher performance levels. Beyond Tencent's AI infrastructure revamp, the company continues to emphasize inference efficiency through architectural innovations including Gated DSA Attention (inspired by DeepSeek and GLM), IndexCache (for more efficient long-context computation) and iHC (identity Hyper-Connections for enhanced inter-layer information flow).

3) Increasing focus on real-world productivity workflows: The company has partnered with internal experts/teams, leveraging proprietary domain know-how to build training data around real-world workflows, while co-designing with workspace products (WorkBuddy/CodeBuddy) to facilitate organic user feedback for model iteration. As a result, Hy4 preview delivered meaningful capability improvements across a range of professional tasks, including software engineering, office productivity, game development and scientific research.

While investor concerns will likely remain on capex intensity and near-term muted profit growth (GSe: 4%/0% EPS growth yoy for 3Q/4Q26E) on long-duration AI investments, we believe the ongoing Hy model launches, strong WorkBuddy user metrics alongside gradual ramp-up of Weixin Xiaowei adoption and any further acceleration of Tencent Cloud (as compute capacity ramps up further for the overall group beyond internal application needs) will be key share price drivers over the next 12 months. We are Buy rated on Tencent with a 12-m SOTP-based TP of HK\$670.

Key risks: Below-expected progresses in AI initiatives; Higher-than-expected AI related investment; More intense industry competition in performance-based advertising, unexpected delays in game launches/Banhao approvals, moderated growth in FinTech and Cloud businesses, slower-than-expected AI development progress, reinvestment risk.

Exhibit 1: Hy4 preview (770bn total parameter size) priced at US\$0.45 per 1M blended tokens, with sustained cost advantage vs. open-source peers at similar size



Source: Company data, Data compiled by Goldman Sachs Global Investment Research

Exhibit 2: Tencent financial summary

Income Statement (RMB mn)														
	2023	2024	2025	2026E	2027E	2028E	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26	3Q26E	4Q26E
Value added services	298,375	319,168	369,281	391,980	418,901	445,920	92,133	91,368	95,860	89,920	96,110	98,414	102,345	95,111
Domestic gaming	126,600	139,600	164,300	183,524	200,008	216,376	42,900	40,400	42,800	38,200	45,400	47,300	48,406	42,418
International gaming	53,100	58,000	77,300	80,174	86,076	92,020	16,600	18,800	20,800	21,100	18,800	18,800	21,296	21,478
Social network	118,675	121,568	127,681	128,282	132,818	137,524	32,633	32,168	32,260	30,620	31,910	32,514	32,643	31,215
Marketing services	101,482	121,374	144,973	172,940	195,062	215,726	31,853	35,762	36,242	41,116	38,171	43,565	42,959	48,244
Others incl. FinTech & Business Service	209,158	219,715	237,512	263,467	288,567	315,638	56,036	57,374	60,767	63,335	62,177	62,806	66,957	71,527
Fintech	166,775	169,343	179,365	188,102	197,188	206,395	44,811	44,332	44,917	45,305	47,787	46,078	46,705	47,532
Business service/Cloud	36,988	42,613	50,070	65,269	80,879	98,322	10,096	11,204	13,257	15,513	12,098	14,208	17,581	21,382
Total revenues	609,015	660,257	751,766	828,387	902,531	977,284	180,022	184,504	192,869	194,371	196,458	204,785	212,261	214,883
Cost of revenues	(315,906)	(311,011)	(329,173)	(356,750)	(384,731)	(413,237)	(79,529)	(79,491)	(84,071)	(86,082)	(85,193)	(86,352)	(91,554)	(93,651)
Gross profit	293,109	349,246	422,593	471,637	517,800	564,047	100,493	105,013	108,798	108,289	111,265	118,433	120,708	121,232
Interest income	13,808	16,004	16,909	17,686	20,158	21,987	3,748	4,121	4,256	4,784	4,025	4,202	5,040	4,419
Other gains	4,701	8,002	(3,177)	4,142	4,513	4,886	(1,397)	(3,578)	483	1,315	1,253	(480)	1,486	1,883
Sales and marketing	(34,211)	(36,388)	(41,727)	(48,875)	(55,054)	(58,637)	(7,866)	(9,410)	(11,468)	(12,983)	(11,343)	(11,869)	(12,417)	(13,246)
General and administrative	(103,525)	(112,761)	(136,127)	(163,556)	(184,701)	(192,522)	(33,664)	(31,921)	(34,259)	(36,283)	(33,800)	(38,808)	(43,433)	(47,515)
Operating profit, IFRS	160,074	208,099	241,562	263,349	282,558	317,774	57,566	60,104	63,554	60,338	67,375	67,276	66,343	62,354
Operating profit, non-IFRS (excl. new AI products)			298,376	348,464	400,733	448,821	71,901	72,399	77,610	76,466	84,400	86,100	90,028	87,935
New AI products investments			(17,720)	(48,398)	(81,138)	(92,824)	(2,581)	(3,151)	(5,040)	(6,948)	(8,773)	(10,464)	(13,731)	(16,430)
Operating profit, non-IFRS	191,886	237,811	280,656	299,066	319,596	355,997	69,320	69,248	72,570	69,518	75,627	75,636	76,297	71,506
Taxation	(43,276)	(45,018)	(47,448)	(53,839)	(62,156)	(70,084)	(13,717)	(11,351)	(9,785)	(12,595)	(14,577)	(11,713)	(12,630)	(14,919)
Net profit, GAAP	115,216	194,073	224,842	247,586	246,293	274,811	47,821	55,628	63,133	58,260	58,093	56,022	62,278	71,194
Net profit, Non-GAAP	157,688	222,703	259,626	274,295	287,356	316,616	61,329	63,052	70,561	64,694	67,905	68,415	73,417	64,558
Diluted EPS, Non-GAAP (Rmb)	16.42	23.67	28.09	29.73	31.19	34.42	6.58	6.79	7.58	6.97	7.36	7.43	7.91	6.96
Revenue breakdown	2023	2024	2025	2026E	2027E	2028E	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26	3Q26E	4Q26E
Marketing services	101,482	121,374	144,973	172,940	195,062	215,726	31,853	35,762	36,242	41,116	38,171	43,565	42,959	48,244
Online Gaming	179,700	197,600	241,600	263,698	286,084	308,396	59,500	59,200	63,600	59,300	64,200	65,900	69,702	63,897
Fintech	166,775	169,343	179,365	188,102	197,188	206,395	44,811	44,332	44,917	45,305	47,787	46,078	46,705	47,532
Business services	36,988	42,613	50,070	65,269	80,879	98,322	10,096	11,204	13,257	15,513	12,098	14,208	17,581	21,382
YoY	2023	2024	2025	2026E	2027E	2028E	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26	3Q26E	4Q26E
Total revenues	10%	8%	14%	10%	9%	8%	13%	15%	15%	13%	9%	11%	10%	11%
Marketing services	23%	20%	19%	19%	13%	11%	20%	20%	21%	17%	20%	22%	19%	17%
Online Gaming	5%	10%	22%	9%	8%	8%	24%	22%	23%	21%	8%	11%	10%	8%
Domestic gaming	2%	10%	18%	12%	9%	8%	24%	17%	15%	15%	6%	17%	13%	11%
International gaming	13%	9%	33%	4%	7%	7%	22%	35%	43%	32%	13%	-1%	2%	2%
Social network	2%	2%	5%	0%	4%	4%	7%	6%	4%	3%	-2%	1%	1%	2%
Fintech	16%	2%	6%	5%	5%	5%	3%	9%	8%	4%	7%	4%	4%	5%
Business service	11%	15%	17%	30%	24%	22%	14%	16%	17%	22%	20%	27%	33%	38%
Cloud	6%	7%	8%	23%	19%	17%	4%	6%	7%	13%	14%	21%	25%	29%
Gross profit	23%	19%	21%	12%	10%	9%	20%	22%	22%	19%	11%	13%	11%	12%
Operating profit, non-IFRS	34%	24%	18%	7%	7%	1%	18%	18%	18%	17%	9%	9%	5%	3%
Operating profit, non-IFRS (excl. new AI products)				18%	15%	12%					17%	19%	16%	15%
Net profit, Non-GAAP	36%	41%	17%	6%	5%	10%	22%	10%	18%	17%	17%	9%	4%	0%
Diluted EPS, Non-GAAP (Rmb)	37%	44%	19%	6%	5%	10%	25%	13%	19%	18%	12%	9%	4%	0%
Margins	2023	2024	2025	2026E	2027E	2028E	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26	3Q26E	4Q26E
Gross margin	48.1%	52.9%	56.2%	56.9%	57.4%	57.7%	55.8%	56.9%	56.4%	55.7%	56.6%	57.8%	56.9%	56.4%
Operating margin, IFRS	26.3%	31.5%	32.1%	31.8%	31.3%	32.5%	32.0%	32.6%	33.0%	31.0%	34.3%	32.9%	31.3%	29.0%
Operating margin, non-IFRS	31.5%	36.0%	37.3%	36.1%	35.4%	36.4%	38.5%	37.5%	37.6%	35.8%	38.5%	36.9%	35.9%	33.3%
Net margin, GAAP	18.9%	29.4%	29.9%	29.9%	27.3%	28.1%	26.6%	30.2%	32.7%	30.0%	29.6%	27.4%	29.3%	33.1%
Net margin, non-GAAP	25.9%	33.7%	34.5%	33.1%	31.8%	32.4%	34.1%	34.2%	36.6%	33.3%	34.6%	33.4%	34.6%	30.0%
Capex	2023	2024	2025	2026E	2027E	2028E	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26	3Q26E	4Q26E
Capex	19,170	48,345	96,432	209,582	245,488	247,253	(27,476)	(19,107)	(12,983)	(19,632)	(31,936)	(52,784)	(60,284)	(64,578)

Source: Company data, Goldman Sachs Global Investment Research

Price Target Risks and Methodology - Tencent Holdings

Valuation methodology: We are Buy rated on Tencent (0700.HK), with a 12-m SOTP-based TP of **HK\$670**.

Key risks: More intense industry competition in performance-based advertising, unexpected delays in game launches/Banhao approvals, moderated growth in FinTech and Cloud businesses, slower-than-expected AI development progress, reinvestment risk.

0700.HK12m Price Target: **HK\$670.00**Price: **HK\$455.20**Upside: **47.2%****Buy****GS Forecast**

Market cap: HK\$4.4tr / \$562.9bn
 Enterprise value:
 HK\$4.6tr / \$582.9bn
 3m ADTV: HK\$14.5bn / \$1.8bn
 China
 China Ecommerce & Logistics
 M&A Rank: 3
 Leases incl. in net debt & EV?: No

	12/25	12/26E	12/27E	12/28E
Revenue (Rmb mn)	751,766.0	828,387.4	902,531.1	977,283.7
EBITDA (Rmb mn)	350,662.0	367,319.8	424,300.0	493,105.3
EPS (Rmb)	28.09	29.73	31.19	34.42
P/E (X)	17.7	13.1	12.5	11.3
P/B (X)	4.0	2.7	2.3	1.9
Dividend yield (%)	1.0	1.3	1.4	1.5
N debt/EBITDA (ex lease,X)	0.0	0.1	0.2	0.1
CROCI (%)	31.5	30.0	27.2	24.7
FCF yield (%)	4.7	3.8	3.8	4.7
	3/26	6/26	9/26E	12/26E
EPS (Rmb)	7.36	7.43	7.91	6.96

Source: Company data, Goldman Sachs Research estimates, FactSet. Price as of 28 Aug 2026 close.

Disclosure Appendix

Reg AC

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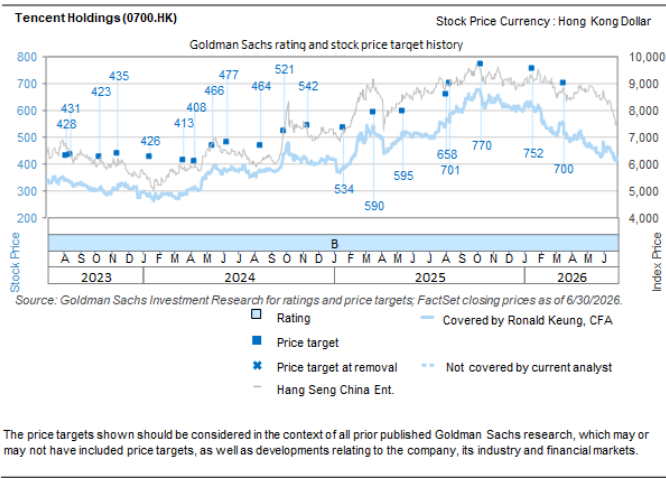
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Price target and rating history chart(s)



Target price history table(s)

Tencent Holdings (0700.HK)

Date of report	Target price (HK\$)	Closing price (HK\$)
12-Aug-26	670.00	461.60
18-Mar-26	700.00	550.50
18-Jan-26	752.00	617.50
12-Oct-25	770.00	651.50
13-Aug-25	701.00	586.00
05-Aug-25	658.00	559.00
14-May-25	595.00	521.00
19-Mar-25	590.00	540.00
20-Jan-25	534.00	389.80
13-Nov-24	542.00	403.80
29-Sep-24	521.00	437.80
14-Aug-24	464.00	373.80
12-Jun-24	477.00	370.80
15-May-24	466.00	381.80
11-Apr-24	408.00	315.00
20-Mar-24	413.00	288.80
15-Jan-24	426.00	289.40
15-Nov-23	435.00	322.60
11-Oct-23	423.00	311.00

Price targets shown in table(s) are unadjusted for corporate actions.

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